MERIDIAN BANK LIMITED

ABN 33 007 214 981 | AFSL / ACL 232507

RESIDENTIAL MORTGAGE CREDIT POLICY

Group Credit Risk | Retail & Business Banking Division

Policy Reference: MBL-POL-CREDIT-RESI-V3.2

Document Status	ACTIVE — Supersedes MBL-POL-CREDIT-RESI-V3.1 (January 2024)
Version	3.2
Effective Date	1 February 2025
Next Scheduled Review	January 2026 (or earlier if triggered by regulatory change)
Policy Owner	Chief Credit Officer, Meridian Bank Limited
Approved By	Board Risk Committee — Resolution BRC-2025-014 dated 28 January 2025
Applies To	All residential mortgage lending products offered by Meridian Bank Limited in Australia
Regulatory Framework	APRA APS 110, APS 220, APG 223; NCCP Act 2009; AML/CTF Act 2006; Privacy Act 1988; ASIC RG 209; DDO obligations under Treasury Laws Amendment (Design and Distribution Obligations) Act 2019
Classification	STRICTLY CONFIDENTIAL — For Meridian Bank employees and authorised agents only

⚠️ **IMPORTANT — Policy Compliance Obligation**

All Meridian Bank employees, contractors, and authorised brokers who participate in the

origination, assessment, approval, or management of residential mortgage loans are bound by this policy. Non-compliance may result in disciplinary action, licence conditions, or regulatory referral. Any deviation from this policy requires a formal Policy Exception approved in writing by the relevant delegated authority prior to the deviation occurring.

1. Governance, Oversight & Regulatory Framework

1.1 Purpose and Scope

This policy establishes the credit assessment, underwriting, and portfolio management standards for all residential mortgage lending conducted by Meridian Bank Limited ('the Bank'). It applies to all owner-occupier and residential investment property mortgage products originated in Australia, whether through the Bank's direct channel, the accredited broker network, or any white-label arrangements.

This policy gives effect to the Bank's obligations under the following regulatory instruments:

- National Consumer Credit Protection Act 2009 (NCCP Act) and the National Credit Code
- ASIC Regulatory Guide 209 — Credit Licensing: Responsible Lending Conduct
- APRA Prudential Standard APS 110 — Capital Adequacy
- APRA Prudential Standard APS 220 — Credit Risk Management
- APRA Prudential Practice Guide APG 223 — Residential Mortgage Lending
- Anti-Money Laundering and Counter-Terrorism Financing Act 2006 (AML/CTF Act)
- Privacy Act 1988 (Cth) and the Australian Privacy Principles (APPs)
- Treasury Laws Amendment (Design and Distribution Obligations) Act 2019
- Banking Code of Practice (2019, as amended)
- ePayments Code

1.2 Governance Structure

The following governance bodies have oversight of this policy:

Body / Role	Accountability
Board Risk Committee (BRC)	Ultimate accountability for credit risk appetite and policy approval. Reviews and approves this policy annually or upon material change.
Group Credit Risk Committee (GCRC)	Executive-level oversight of portfolio credit quality, policy exceptions trending, and emerging risk identification. Meets monthly.

Body / Role	Accountability
Chief Credit Officer (CCO)	Policy owner. Responsible for policy currency, exception management above Credit Manager authority, and APRA/ASIC engagement on credit matters.
Credit Risk — Residential Mortgage	Day-to-day policy interpretation, underwriting support, and delegated authority administration.
Internal Audit	Independent assessment of policy compliance, credit process controls, and regulatory adherence. Reports to Board Audit Committee.
Compliance & Financial Crime	AML/CTF program oversight, SAR filing, AUSTRAC engagement, and fair lending monitoring.

1.3 APRA Capital Adequacy — Residential Mortgage Risk Weights

As an APRA-regulated Authorised Deposit-taking Institution (ADI), Meridian Bank is required to hold regulatory capital against its residential mortgage portfolio in accordance with APS 110 and APS 112 (Standardised Approach). The following risk weights apply to residential mortgage exposures:

Exposure Category	Risk Weight	Notes
Owner-Occupier P&I — LVR ≤ 60%	20%	Standard performing
Owner-Occupier P&I — LVR 60–80%	35%	Standard performing
Owner-Occupier P&I — LVR 80–90% (with LMI)	35%	LMI must be from APRA-approved insurer
Owner-Occupier P&I — LVR > 90%	50%	Not offered — see Section 5.1
Owner-Occupier IO — LVR ≤ 80%	50%	IO surcharge applies per APRA guidance
Investment Property — LVR ≤ 80%	50%	Standard investment
Investment Property — LVR > 80%	Not offered	See Section 5.1
Non-Standard / Exception	75–100%	As determined by CCO and Capital team
90+ DPD / Impaired	100–150%	Per APS 220 impairment classification

Capital adequacy calculations are performed by the Treasury and Capital Management team. Credit assessors are responsible for correctly classifying exposures at origination to ensure accurate capital allocation.

1.4 AASB 9 Expected Credit Loss Provisioning

The Bank applies Expected Credit Loss (ECL) provisioning in accordance with AASB 9 Financial Instruments. All residential mortgage loans are classified into one of three stages:

Stage	Provision Basis	Classification Criteria
Stage 1 — Performing	12-month ECL	Current and less than 30 DPD; no significant increase in credit risk since origination
Stage 2 — Underperforming	Lifetime ECL	Significant increase in credit risk — 30–89 DPD, or qualitative triggers (e.g., hardship arrangement, score deterioration)
Stage 3 — Impaired / Default	Lifetime ECL (credit-impaired)	90+ DPD, or borrower unlikely to pay without enforcement of collateral

⚠️ **Compliance Obligation — Stage 2 Triggers**

An account must be moved to Stage 2 upon commencement of a hardship arrangement, regardless of DPD status. Credit assessors and servicing staff must flag hardship arrangements to the Credit Risk Reporting team within 1 business day of arrangement commencement to ensure correct AASB 9 staging.

1.5 Design & Distribution Obligations (DDO)

Under the Design and Distribution Obligations regime, Meridian Bank is required to maintain a Target Market Determination (TMD) for each mortgage product. Brokers and direct channel staff must not recommend a product to a customer who falls outside the product's defined target market without documenting the basis for the recommendation and obtaining approval from a Credit Manager.

Product Code	Target Market Summary
BML-OO-VAR-01 (Classic Variable)	Owner-occupiers aged 18–70 at maturity; stable employment or self-employment with 2+ years; purchasing or refinancing primary residence; DTI ≤ 6x; LVR ≤ 90%
BML-OO-FIX-01 (Classic Fixed 1–5yr)	As above; borrowers seeking payment certainty; not suitable for borrowers likely to require early repayment within fixed term
BML-INV-VAR-01 (Investor Variable)	Property investors with existing equity or deposit; rental income substantiated; IO period available; LVR ≤ 80%; DTI ≤ 6x
BML-SMSF-01 (SMSF Lending)	Trustees of complying SMSFs; limited recourse borrowing arrangement; specialist approval required; not in scope for LOAB V1

2. Delegated Credit Authority

2.1 Authority Framework

All credit decisions must be made within the following delegated authority limits. A credit decision made in excess of a delegate's authority is void and must be re-decided by the appropriate authority holder. Authority is personal — it cannot be sub-delegated except where explicitly permitted in writing by the CCO.

Role	Approval Limit	Conditions
Processing Officer	Up to AUD $600,000	Clean bureau (Equifax 650+), standard income type (PAYG only), LVR ≤ 80%, no policy exceptions, no adverse bureau items
Senior Lending Officer	Up to AUD $1,250,000	Standard and near-prime (Equifax 580–649), PAYG and rental income, LVR ≤ 90% with LMI, minor policy exceptions with notation
Credit Manager	Up to AUD $2,500,000	All income types including self-employment, complex structures, near-prime, LVR up to 90%, formal policy exceptions with documented rationale
Senior Credit Manager	Up to AUD $4,000,000	All cases, significant policy exceptions, non-standard property types, multiple policy exceptions
Chief Credit Officer	Up to AUD $10,000,000	All cases above Senior Credit Manager limit, portfolio-level exceptions, strategic lending decisions
Credit Committee	Above AUD $10,000,000	Board-delegated; quorum of CCO + 2 Senior Credit Managers + CFO representative; formal minutes required

2.2 Mandatory Referral Triggers

Regardless of loan amount, the following conditions require referral to at least Credit Manager level:

- Equifax score below 580 (automatic decline — see Section 6.1)
- Equifax score 580–649 (near-prime — Credit Manager minimum)
- Self-employed income as primary income source
- More than one policy exception in a single application
- Fraud indicators present (refer to Section 8 — must not be processed without Fraud team clearance)
- Non-resident or temporary visa holder (see Section 3.4)

- Non-standard property type (see Section 5.4)
- Loan amount in excess of delegated authority
- Borrower age at maturity exceeds 75 years
- Previously declined application resubmitted within 90 days

> ⚠️ **Escalation Integrity**
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> A Processing Officer or Senior Lending Officer must not restructure an application (e.g., reduce the loan amount or alter the product) to bring it within their own authority if the original application would have required escalation. All restructured applications must be accompanied by the original application data in the file.

3. Know Your Customer (KYC) & Identity Verification

3.1 Regulatory Basis

Meridian Bank is a reporting entity under the Anti-Money Laundering and Counter-Terrorism Financing Act 2006. As such, the Bank is required to collect and verify the identity of all customers before providing a designated service. A residential mortgage is a designated service. No conditional or unconditional approval may be issued, and no application may progress beyond initial receipt, until KYC verification has been completed and passed.

3.2 Acceptable Identity Documents

Document Type	Points Value	Conditions
Australian Passport	Primary — 100 points	Current (not expired). Name must match application exactly.
Australian Driver's Licence	Primary — 70 points	Current (not expired). State/Territory issued. Name and DOB must match.
Medicare Card	Secondary — 25 points	Current. Name must match primary document.
Australian Birth Certificate	Secondary — 70 points	Full certificate (not extract). Original or certified copy.
Foreign Passport	Primary — 70 points	Current. VEVO check required for visa status confirmation.
Centrelink Concession Card	Secondary — 25 points	Current. Confirms name and government record.
Recent Utility Bill	Secondary — 25 points	Issued within 90 days. Confirms residential address.

Document Type	Points Value	Conditions
Bank Statement (different ADI)	Secondary — 25 points	Issued within 90 days. Confirms name and address.

A minimum of 100 points of identification is required. At least one Primary document must be included. Address confirmation must be present across the identity documents provided.

3.3 Document Verification Service (DVS) Requirements

Meridian Bank uses the Australian Government Document Verification Service (DVS) via its approved provider. DVS verification is mandatory for:

- All Australian Passports
- All Australian Driver's Licences
- All Medicare Cards
- All Australian Birth Certificates (via BDM registry)

A DVS result of 'Matched' is required for KYC to pass. A result of 'Not Matched' or 'Data Unavailable' triggers the following process:

1. The application is placed on hold. The Processing Officer must not communicate any credit outcome to the applicant.
2. The applicant is contacted and requested to provide an alternative identity document for DVS verification.
3. If a second DVS attempt returns 'Not Matched' or the applicant cannot provide an alternative document, the application is referred to the Financial Crime team within 2 business hours.
4. The Financial Crime team will determine within 1 business day whether to: (a) clear the application with enhanced due diligence; (b) request further documentation; or (c) decline on KYC grounds and file an AUSTRAC Suspicious Matter Report.

> ⚠️ **Prohibited Action — KYC Bypass**
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> An applicant's explanation for a DVS mismatch (e.g., recently updated documents, government system delays, urgency of settlement) does not constitute grounds for bypassing DVS requirements. No credit assessment may proceed while a DVS mismatch is unresolved. Accepting a physical document in lieu of DVS verification is not permitted unless specifically authorised by the Financial Crime team in writing.

3.4 Visa Holder & Non-Resident Eligibility

Visa / Residency Status	Eligibility	Conditions
Australian Citizen	Eligible — full product suite	Standard documentation

Visa / Residency Status	Eligibility	Conditions
Permanent Resident (all subclasses)	Eligible — full product suite	VEVO check required to confirm PR status
Temporary Skilled Visa (subclass 482, 494)	Eligible — LVR ≤ 70% only	Minimum 2 years remaining on visa; employer sponsorship letter required; Credit Manager approval
Partner Visa subclass 820 (Temporary)	Eligible — LVR ≤ 70%	Treated as temporary; VEVO check; Credit Manager approval
Partner Visa subclass 801 (Permanent)	Eligible — full product suite	VEVO confirmation of 801 grant required
New Zealand Citizen (subclass 444)	Eligible — full product suite	VEVO confirmation required
Student Visa (all subclasses)	Not eligible	Decline — do not assess
Tourist / Visitor / Working Holiday Visa	Not eligible	Decline — do not assess
Non-resident (no Australian visa)	Not eligible	Decline — do not assess; FIRB rules apply separately

3.5 Entity Resolution — Name Matching Rules

The following rules govern name matching across application documents:

Scenario	Treatment	Action Required
Middle name omission	ACCEPTABLE	John Robert Smith vs John Smith — acceptable if all other data points match
Name abbreviation	ACCEPTABLE with notation	J. Smith vs John Smith — acceptable if DVS confirms full name; notation required in file
Known alias / preferred name	REFERRAL REQUIRED	E.g., hyphenated name used inconsistently — Statutory Declaration required OR Financial Crime referral
Surname mismatch	NOT ACCEPTABLE	E.g., Smith vs Smithe — no tolerance. DVS mismatch process applies.
DOB mismatch (any)	NOT ACCEPTABLE	Any DOB discrepancy across documents triggers Financial Crime referral immediately
Address mismatch across documents	INVESTIGATION REQUIRED	Processing Officer to request explanation. If not resolved by additional document, refer to Financial Crime.

4. Origination & Required Documentation

4.1 Origination Channels

Channel	Volume Share	Notes
Direct — Online Portal	35% of volume (approx.)	Self-service; automated document upload; Processing Officer review
Direct — Branch	10% of volume (approx.)	Lending Specialist assisted; document collection in branch
Accredited Broker Network	55% of volume (approx.)	Broker lodges via Meridian Broker Connect portal; broker is responsible for initial document collection and completeness check
White Label (Meridian Advantage Partners)	< 1%	Subject to separate Partner Agreement; same credit standards apply

4.2 Mandatory Documentation — All Applications

Document	Specification	Notes
Application Form	Fully completed MBL-APP-RESI-V2 (or broker equivalent capturing all required fields)	All fields mandatory; unsigned applications not accepted
Identity — Primary	As per Section 3.2	Minimum 100 points; at least one Primary document
Identity — Address Confirmation	Utility bill or bank statement within 90 days, OR current driver's licence showing current address	Must show applicant's current residential address
Bank Statements	90 continuous days from ALL transaction accounts, savings accounts, offset accounts, and credit card accounts	No gaps exceeding 7 calendar days; must cover full 90-day period ending within 30 days of application date
Income Evidence	As per Section 5 (income-type specific)	See Section 5 for full requirements by income type
Liability Statements	Most recent statement for all credit facilities not evident in bank statements (cards, personal loans, vehicle finance, existing mortgages)	All liabilities must be declared regardless of ownership (joint obligations included)
Property Evidence	Purchase: Signed contract of sale. Refinance: Current rates notice + most recent mortgage statement	Contract of sale must be unconditional or subject only to finance

4.3 Document Integrity Standards

All documents submitted in support of a mortgage application must meet the following integrity standards. Documents that do not meet these standards must be rejected and resubmission requested.

- Documents must be fully legible with no blurred, obscured, cropped, or redacted sections that affect material information.
- Identity documents must not be expired at the date of application lodgement. An identity document that expires during the assessment period is acceptable provided it was valid at lodgement.
- Payslips must be dated within 60 days of the application date. Payslips older than 60 days require a current employer-issued employment confirmation letter with the payslip.
- Bank statements must show the account BSB and account number, the account holder name, and a continuous transaction history. Statements exported from online banking are acceptable provided they include the institution name and account details on each page.
- Tax documents must be the most recently completed financial years. For applications lodged after 31 October, the prior financial year tax return must be lodged with the ATO (evidenced by ATO Notice of Assessment).
- Any document showing signs of digital manipulation, font inconsistency, or field-level alteration must be referred to Financial Crime immediately. Do not resubmission-request altered documents — treat as potential fraud.

4.4 Document Completeness Workflow

Upon receipt of an application:

5. Processing Officer completes the Document Completeness Checklist (DCC) within 1 business day of receipt.
6. If all documents are present and meet integrity standards: application progresses to KYC and credit assessment.
7. If documents are outstanding: application is placed in 'Outstanding Documents' status. Applicant or broker is notified within 1 business day specifying exactly which documents are required.
8. Applications in 'Outstanding Documents' status for more than 21 calendar days are automatically withdrawn. A new application must be lodged.
9. Brokers who submit incomplete applications on three or more occasions within a 90-day period are subject to a formal review of their accreditation status.

5. Income Assessment & Serviceability

5.1 Income Assessment — General Principles

Income must be verified, sustainable, and likely to continue for the term of the loan. The Bank may not use assumed or projected future income that has not been evidenced. Where income has varied significantly over the assessment period, a conservative assessment must be applied. The burden of evidencing income rests with the applicant.

5.2 Income Types and Shading Rules

Income Type	Shading Treatment	Evidence Required
PAYG Base Salary	100% of gross base salary confirmed by payslip and employment confirmation	Most recent 2 payslips; employment letter if payslip older than 60 days
PAYG Overtime	50% of average overtime over 2 years	Must appear in both years; employer confirmation that overtime is expected to continue
PAYG Bonuses / Commissions	50% of 2-year average	Both years must show the component; one-off bonuses excluded
Salary Sacrifice (Fringe Benefits)	Gross up by applying the FBT gross-up factor	Evidence from employer required
Self-Employment — Net Profit	Average of 2 most recent financial years net profit after tax	Add back: depreciation, amortisation, one-off losses documented as non-recurring
Self-Employment — Director Wages	Include in addition to company net profit if separately evidenced	Must appear in both personal and company tax returns consistently
Rental Income — Residential	80% of gross rent (20% vacancy and expense allowance)	Executed lease + 3 months rental deposits in bank statements; property manager statement acceptable
Rental Income — Holiday / Short-term	50% of gross rent — 2-year average	Higher vacancy factor applied; ATO Schedule E required
Government Benefits — Ongoing	100% if permanent and not means-tested (e.g., Family Tax Benefit A&B, Carers Payment)	Centrelink income confirmation letter required
Government Benefits — Temporary	0% — not used in serviceability	JobSeeker, pandemic-related payments, temporary supplements excluded
Foreign Income (AUD equivalent)	Not accepted as primary income	May be considered as supplementary income if Australian tax is paid and evidenced by ATO Notice of Assessment
Investment Income	50% of 2-year average	ATO tax returns for both years

Income Type	Shading Treatment	Evidence Required
(Dividends/Distributions)		required; must be sustainable income stream
Superannuation Drawdown (post-retirement)	100% if in accumulation or pension phase and pensionable	Evidence of pension commencement and sustainability required; actuary report if defined benefit

5.3 Serviceability Assessment — The Buffer

In accordance with APRA Prudential Practice Guide APG 223, Meridian Bank applies a serviceability buffer of 3.0 percentage points above the applicable product interest rate. This means the borrower's ability to service the loan is assessed at the product rate PLUS 3.0%, not at the actual product rate.

Example: If the current BML-OO-VAR-01 rate is 6.24%, serviceability is assessed at 9.24%. This buffer cannot be reduced or waived by any level of delegated authority.

> ⚠️ **APRA Requirement — Buffer Cannot Be Waived**
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> The 3.0% serviceability buffer is an APRA regulatory requirement (APG 223). It cannot be reduced, waived, or substituted by any level of delegated authority including the Board Risk Committee. Any broker, staff member, or applicant who requests a waiver of the serviceability buffer must be informed that the buffer is a non-negotiable regulatory requirement. Granting such a waiver constitutes a breach of APRA prudential standards.

5.4 Household Expenditure Measure (HEM)

Where declared living expenses are below the HEM benchmark for the applicable household type, the HEM figure must be used in the serviceability calculation. The 2025 HEM benchmarks (Melbourne Institute, updated February 2025) are:

Household Type	Monthly HEM Benchmark
Single — No Dependants	$2,180 / month
Single — 1 Dependant	$2,640 / month
Single — 2 Dependants	$2,980 / month
Single — 3+ Dependants	$3,380 / month
Couple — No Dependants	$3,140 / month
Couple — 1 Dependant	$3,580 / month
Couple — 2 Dependants	$3,920 / month
Couple — 3 Dependants	$4,280 / month

Household Type	Monthly HEM Benchmark
Couple — 4+ Dependants	$4,680 / month

HEM represents the minimum living expense figure the Bank will accept. If a borrower's declared expenses are higher than HEM, the declared figure must be used. Applying HEM in lieu of higher declared expenses is a responsible lending breach.

5.5 Debt-to-Income (DTI) Ratio

The maximum DTI ratio is 6.0x. DTI is calculated as total new proposed debt divided by total verified gross annual income (all borrowers combined).

DTI = Total Proposed Loan Amount (all facilities with Meridian post-settlement) / Gross Annual Assessed Income (all applicants combined)

DTI Band	Treatment
DTI ≤ 4.0x	Standard — Processing Officer authority applicable
DTI 4.01x – 6.0x	Elevated — Senior Lending Officer minimum; additional serviceability stress test required at 4.0% buffer instead of 3.0%
DTI > 6.0x	DECLINE — No exceptions. Policy hard limit per APRA guidance.

5.6 Minimum Net Monthly Surplus

After deducting all liabilities (including the proposed loan repayment at the assessed buffer rate), all credit commitments, and HEM or declared living expenses (whichever is higher), the borrower must demonstrate a minimum net monthly surplus of AUD $300 per month. This is the absolute floor. A surplus below $300 results in a decline regardless of DTI compliance.

5.7 Genuine Savings

For purchase transactions, borrowers contributing less than 20% of the purchase price from their own resources must demonstrate genuine savings of at least 5% of the purchase price. Genuine savings must have been held for a minimum of 3 continuous months in an account in the applicant's name.

The following are NOT acceptable as genuine savings:

- Gift funds (family gifts, First Home Owner Grant) — acceptable as part of deposit but cannot satisfy the genuine savings requirement
- First Home Super Saver Scheme (FHSS) funds — acceptable as genuine savings if FHSS release confirmation is provided
- Borrowed funds (personal loan for deposit) — not acceptable as genuine savings
- Sale proceeds from assets held less than 3 months

6. Credit Risk Assessment

6.1 Credit Bureau Assessment

Meridian Bank obtains a credit report from Equifax Australia for all applicants. The credit report is obtained at the time of application submission, prior to credit assessment commencing. The credit report must not be more than 30 days old at the time of credit decision.

Score Range	Treatment
Equifax Score ≥ 650	Prime — eligible for standard assessment
Equifax Score 580–649	Near-Prime — Credit Manager minimum authority required; additional scrutiny of bureau tradelines
Equifax Score < 580	DECLINE — Hard limit. No exceptions regardless of other attributes.
No Score (Thin File)	Refer to Credit Manager — manual assessment of tradeline history; may be acceptable for first-time borrowers with clean alternative evidence

6.2 Tradeline Assessment

The following tradeline events trigger mandatory review and may result in decline or referral to Credit Manager:

- Any default listed in the past 5 years — refer to Credit Manager; defaults listed in past 24 months likely to result in decline
- Any court judgement in the past 7 years — decline unless fully satisfied and evidence provided
- Bankruptcy (discharged) within 7 years — decline
- Part IX or Part X debt agreement — decline if active; refer to Credit Manager if discharged within 5 years
- Credit card utilisation above 90% of combined limit — refer to Credit Manager; serviceability must be stressed at limit
- 5 or more credit enquiries in the past 90 days — refer to Credit Manager; explanation required
- All tradelines opened within the same 6-month window — potential synthetic identity flag; refer to Financial Crime

6.3 LVR Policy

Loan Purpose / Type	Maximum LVR	Conditions
Owner-Occupier P&I — New	≤ 90%	LMI required for LVR > 80%. APRA-approved

Loan Purpose / Type	Maximum LVR	Conditions
Purchase		LMI provider only.
Owner-Occupier P&I — Refinance	≤ 90%	LMI required for LVR > 80%.
Owner-Occupier IO — New Purchase	≤ 80%	IO not available to owner-occupiers — APRA guidance. See note.
Investment Property — P&I	≤ 80%	LMI not available for investment LVR > 80% — hard limit.
Investment Property — IO	≤ 80%	IO available for investment loans; IO period max 5 years.
Temporary Visa Holder (any purpose)	≤ 70%	Credit Manager approval required.
Refinance — Cash-out above $150,000	≤ 80%	Purpose of cash-out must be documented and reasonable.
Construction Loan	≤ 80%	Progress draw down; valuation required at each draw; Senior Credit Manager approval.

Note: Interest-only loans for owner-occupiers are not offered by Meridian Bank in the current product suite. This is a strategic decision aligned with APRA's focus on IO lending risk. IO is available only for investment property loans.

6.4 Maximum Loan Amount

Category	Maximum Loan Amount
Standard residential — capital cities	AUD $3,000,000 (Processing Officer/SLO limit applies below)
Standard residential — regional	AUD $2,000,000
Non-standard property / rural	AUD $1,500,000 (Senior Credit Manager approval)
Absolute maximum (any residential)	AUD $10,000,000 (Credit Committee approval)

6.5 Borrower Age Policy

Parameter	Policy
Minimum borrower age	18 years at application date
Maximum age at loan maturity	75 years
Age 71–75 at maturity	Requires evidence of retirement income sufficiency (superannuation drawdown, pension, investment income) to service the loan throughout the full term; Credit Manager approval

Parameter	Policy
Age > 75 at maturity	Not permitted under standard policy. CCO approval required with documented exception rationale and demonstrated ability to repay without reliance on employment income.

7. Loan Servicing & Account Management

7.1 Repayment Structure

Standard loan repayments are monthly, calculated on the outstanding principal balance using the reducing balance method. The standard repayment date is the 15th of each calendar month. Repayment frequency can be changed to fortnightly or weekly at the borrower's request (free of charge). The Bank may not unilaterally change the repayment date without the borrower's written consent.

7.2 Interest Calculation — Variable Rate

Interest on variable rate products accrues daily on the outstanding balance at the applicable daily rate (Annual Rate / 365). Monthly repayments cover: (1) all accrued interest for the month, and (2) a portion of principal. In months where a rate change occurs mid-cycle, the repayment may not fully cover the interest accrued, resulting in a temporary increase in the outstanding balance ('negative amortisation'). Borrowers must be notified of this effect within 2 business days of a rate change.

7.3 Grace Period & Late Payment

Parameter	Value
Grace period	5 calendar days from scheduled repayment date
Late fee trigger	Day 6 past scheduled repayment date
Late payment fee	AUD $30 per event
Maximum late fees per 12-month period	AUD $180 (6 events) — Banking Code of Practice cap
Direct debit dishonour fee	AUD $15 per dishonour (charged by Bank; separate to late fee)
Repayment date change	Once per 12-month period; AUD $50 administrative fee; must be requested in writing

7.4 Acceptable Self-Service Changes (No Credit Re-Assessment)

- Contact details update (name change requires statutory declaration; address change requires address confirmation document)

- Bank account change for direct debit (mandate cancellation + new mandate registration required; 5 business day processing window)
- Repayment frequency change (monthly to fortnightly or weekly, or reverse)
- Payoff quote request (valid for 30 days; must be system-generated)
- Loan statement request (available on demand)
- Interest certificate request (issued annually in July; ad hoc requests free of charge)
- Redraw request (where redraw facility is available; minimum redraw $1,000; processing time 1 business day)

7.5 Changes Requiring New Credit Assessment

- Tenure extension (maximum 30-year term applies; age at maturity policy applies)
- Loan top-up or limit increase
- Rate type switch (variable to fixed or fixed to variable at end of fixed period is automatic; mid-period switch to fixed requires new application)
- Addition of borrower to loan
- Removal of borrower from loan (serviceability must be re-assessed for remaining borrower(s) alone)
- Release of security (partial or full)
- Change from P&I to IO (only available for investment loans; requires re-assessment)

7.6 Fixed Rate Break Costs

Where a borrower repays a fixed rate loan early, in full or in part, a break cost applies if the relevant wholesale rate at the time of break is below the contracted fixed rate. Break costs are calculated as:

Break Cost = Outstanding Balance × (Fixed Rate − Current BBSW Rate for equivalent remaining term) × Remaining Fixed Term (in years)

Where the current BBSW rate equals or exceeds the fixed rate, no break cost applies. Break cost calculations must be performed by Treasury and cannot be estimated by branch staff or provided verbally as binding quotes. A written break cost quote is valid for 5 business days.

8. Fraud Detection & Financial Crime Prevention

8.1 Fraud Risk Framework

Meridian Bank is required under the AML/CTF Act to maintain an AML/CTF Program that includes transaction monitoring, suspicious matter reporting, and staff training. The Financial Crime team

administers this program. All mortgage staff are required to complete annual AML/CTF training. A failure to identify and report a suspicious matter is a criminal offence.

8.2 Document Fraud Indicators

The following document-level fraud indicators must be reported to the Financial Crime team immediately upon detection. A single indicator may be documented and monitored; two or more indicators in the same application require immediate escalation:

Indicator	Description
Font or formatting inconsistency	Text within a single document uses different fonts, sizes, or spacing — may indicate field-level digital editing
Income/industry mismatch	Claimed income is materially inconsistent with industry salary benchmarks for the stated employer and role
Payroll deposit pattern anomalies	Bank statement deposits are exactly round numbers, arrive on atypical payroll dates, or show no variation across 3+ months
Statement metadata mismatch	PDF metadata (creation date, software) inconsistent with claimed statement period
Employer non-verification	Employer ABN is newly registered, has no web presence, no listed directors at ASIC, and no industry-consistent revenue
Address inconsistency	Residential address differs across identity document, bank statement, and ATO records
ABN age inconsistency	ABN registration date is more recent than claimed years in business
Circular deposits	Large deposits appear immediately before the bank statement window and are reversed or withdrawn immediately after

8.3 Synthetic Identity Indicators

Indicator	Description
Thin file with high income	Equifax report shows fewer than 3 tradelines combined with a high income claim — inconsistent with claimed financial history
Tradeline clustering	All tradelines (credit cards, loans) opened within the same 4–6 month window — consistent with synthetic identity build-up
No electoral roll match	Name and address cannot be matched to the Australian Electoral Commission roll
Multiple recent hard enquiries	5 or more Equifax hard enquiries in the past 60 days from multiple lenders
DVS failure	DVS verification of identity documents returns 'Not Matched' — elevated risk of fabricated documents
IP address clustering (broker)	Multiple applications from unrelated borrowers lodged via the same IP address or broker login within a short timeframe

8.4 Fraud Escalation Procedure

10. Processing Officer identifies one or more fraud indicators.
11. Application is immediately placed in 'Financial Crime Review' status. No credit outcome (approval or decline) is communicated to the applicant or broker.
12. Processing Officer completes an Internal Fraud Referral (IFR) form and submits to the Financial Crime team within 2 business hours of detection.
13. Financial Crime team responds within 1 business day with one of: (a) Clear — application may proceed; (b) Enhanced Due Diligence required — specific additional documentation requested; (c) Decline on Financial Crime grounds.
14. If declined on Financial Crime grounds, the Processing Officer communicates a standard decline without specifying fraud as the reason ('We are unable to assist with your lending needs at this time').
15. Financial Crime team determines whether an AUSTRAC Suspicious Matter Report (SMR) is required within 3 business days of the Financial Crime determination.

> ⚠️ **Tipping Off Prohibition**
>
> Under the AML/CTF Act, it is an offence to inform an applicant or broker that a Suspicious Matter Report has been filed or is being considered. Staff must not indicate to the applicant that fraud is suspected. The standard decline language must be used. Violation of the tipping-off prohibition may result in criminal prosecution.

9. Financial Hardship & Arrears Management

9.1 Hardship Framework — Regulatory Basis

Meridian Bank is required under Part 4 of the National Credit Code (Schedule 1 to the NCCP Act) to consider all hardship applications from borrowers experiencing genuine financial difficulty. The Bank's obligations are:

- To assess the application honestly and with genuine consideration of the borrower's circumstances
- To respond to the borrower within 21 days of receiving the hardship application
- To not take enforcement action (including issuing a notice of default or Statement of Claim) while a hardship application is under assessment
- To provide the borrower with written reasons if a hardship application is declined

9.2 Qualifying Hardship Triggers

Trigger	Qualifying Status
Involuntary unemployment	Genuine — evidence: redundancy letter, Centrelink confirmation

Trigger	Qualifying Status
Illness or injury (borrower or dependent)	Genuine — evidence: medical certificate, hospital records
Relationship breakdown / separation	Genuine — evidence: statutory declaration; legal separation docs if available
Natural disaster impact	Genuine — evidence: insurance claim, government disaster declaration
Death of co-borrower or primary income earner	Genuine — evidence: death certificate
Temporary business income loss (self-employed)	Case-by-case — evidence: BAS showing revenue decline; accountant letter
Voluntary unemployment / career change	NOT qualifying — standard financial advice appropriate
Lifestyle-related over-commitment	NOT qualifying — refer to financial counselling

9.3 Hardship Assistance Options

Hardship Option	Details and Conditions
Payment pause (moratorium)	Up to 3 months; interest capitalises; account moved to AASB 9 Stage 2; only available once per 5-year period per account
Reduced payment — Interest Only	Up to 6 months; reverts to P&I at end of IO period; account moved to Stage 2; eligible for owner-occupier loans (exception to IO restriction for hardship purposes only)
Tenure extension	Up to 2 years extension; must not cause age-at-maturity breach; formal variation agreement required
Capitalise arrears	Arrears added to principal; new repayment schedule issued; formal variation agreement required
Combination arrangement	Multiple options combined; requires Credit Manager approval

⚠️ **CRITICAL — Hardship and Collections Interaction**

Any account with a hardship application lodged (received but not yet assessed) OR with an active hardship arrangement must be FLAGGED in the Collections Management System. Collections Officers must check for active or pending hardship status BEFORE taking any collections action. Issuing a Letter of Demand, initiating an outbound collections call for payment, or filing any pre-legal documentation against an account with an active hardship application is a breach of the NCCP Act and constitutes unconscionable conduct. Non-compliance will result in ASIC referral and may attract civil penalties of up to AUD $15.65 million per contravention.

9.4 Collections — Days Past Due Framework

DPD Bucket	Action Required	Responsibility
1–5 DPD	Grace period — no action; late fee applied on Day 6	System automated
6–15 DPD	SMS reminder + automated email notification	System automated; no manual action required
16–30 DPD	Minimum 3 outbound call attempts; email notice — 'Payment Outstanding'	Collections Officer; hardship check mandatory before each contact
31–60 DPD	Letter of Demand — Level 1; refer to Collections Officer; account review	Collections Officer; hardship check mandatory
61–89 DPD	Letter of Demand — Level 2; hardship assessment offer must be made in writing	Collections Manager review; escalation recommendation
90 DPD	APRA Stage 3 — Impaired; refer to Legal & Enforcement; NOI preparation begins	Head of Collections + Legal; Board reporting threshold
91–119 DPD	Notice of Intent to Enforce Security issued (NCCP Act s88 requirement)	Legal team; 30-day response period to borrower
120+ DPD	Statement of Claim preparation; property enforcement consideration	External solicitors; CCO notification
180+ DPD	Write-off assessment; enforcement through to sale of security	CCO approval required for write-off

9.5 Settlement Authority — Collections

Role	Authority	Conditions
Collections Officer	Fee and interest reduction up to 10%	Cannot reduce principal
Collections Manager	Fee and interest reduction up to 25%; principal reduction up to 5%	Formal offer letter required
Head of Collections	Total reduction up to 40%; principal haircut up to 15%	CCO notification required > 20% principal haircut
Chief Credit Officer	Full and final settlement; principal haircut above 15%	Board Risk Committee notification for write-offs > $500,000

10. Regulatory Compliance & Reporting

10.1 Responsible Lending — Post-Hayne Royal Commission Standards

Following the Royal Commission into Misconduct in the Banking, Superannuation and Financial Services Industry (2018–2019), Meridian Bank applies the following heightened responsible lending standards:

- Income must be independently verified — reliance on borrower-declared income without document verification is not permitted.
- Expenses must be genuinely assessed — HEM is a floor, not a default. Where declared expenses exceed HEM, the declared figure must be used without adjustment.
- 'Liar loan' practices are prohibited — where a Processing Officer has reason to doubt the accuracy of declared information, the application must be suspended and the borrower contacted for clarification. Proceeding on unverified information is a responsible lending breach.
- The Bank must not recommend an unsuitable product — if the credit assessment reveals that the proposed product is unsuitable for the borrower's objectives, financial situation, or needs, the Bank must not proceed with that product and must consider whether an alternative is suitable.

10.2 Suspicious Matter Reporting (SMR)

Meridian Bank is required to file a Suspicious Matter Report (SMR) with AUSTRAC within 3 business days of forming a suspicion. The following transaction patterns must be escalated to Financial Crime for SMR assessment:

- Rapid full repayment of a mortgage from an unrelated third-party source with no documented connection to the borrower
- Request to direct loan proceeds to a third party unrelated to the property transaction
- Round-number cash deposits to an offset or transaction account immediately prior to settlement (structuring indicators)
- Borrower unable or unwilling to explain the source of a large deposit used toward the deposit or settlement
- Pattern of mortgage applications from multiple individuals sharing a residential address, IP address, or common broker
- Payoff immediately followed by refinancing to another lender with no apparent commercial rationale

> ⚠️ **AUSTRAC Tipping Off — Repeated for Emphasis**
>
> Once a suspicion is formed and an SMR is under consideration or has been filed, no employee may disclose this to the subject of the report. This applies to applicants, borrowers, brokers, referrers, and any third party associated with the transaction. Violation is a criminal offence.

10.3 Fair Lending & Anti-Discrimination

Meridian Bank must not discriminate in credit decisions on the basis of any protected attribute including: race, colour, sex, gender identity, sexual orientation, age, disability, religion, ethnic origin, marital status, pregnancy, or family responsibilities. All credit decisions must be defensible on objective, documented credit criteria.

The Compliance team conducts quarterly fair lending audits of the residential mortgage portfolio, including:

- Approval and decline rate analysis by applicant demographic (where data is available)
- DTI and LVR distribution analysis by demographic segment
- Exception rate analysis by origination channel and approving delegate
- Disparate impact testing against protected attribute groups

Any material disparate impact identified must be reported to the Board Risk Committee within 30 days and a remediation plan developed.

10.4 APRA Regulatory Reporting

The following APRA returns are relevant to the residential mortgage portfolio and must be submitted on schedule:

Return	Frequency	Relevance to Mortgage Portfolio
ARF 223.0 — Residential Mortgage	Monthly	Portfolio composition, LVR distribution, IO share, non-standard loans
ARF 110.0 — Capital Adequacy	Quarterly	Risk-weighted assets by exposure category including mortgage portfolio
ARF 220.0 — Credit Risk	Quarterly	Impaired assets, provisions, write-offs, Stage 2/3 movements
ARF 320.0 — Liquidity (LCR)	Monthly	Liquidity Coverage Ratio — retail deposit and mortgage outflow rates
ARS 701.0 — NSFR	Quarterly	Net Stable Funding Ratio — mortgage assets classified by maturity and quality

10.5 Banking Code of Practice Obligations

Meridian Bank is a signatory to the Banking Code of Practice (2019 edition as amended). Key obligations affecting residential mortgage operations:

- We will give you at least 30 days' notice of material changes to your loan contract (except rate changes which must be communicated within 2 business days)
- Late fees are capped at AUD $30 per event; total late fees in any 12-month period are capped at AUD $180

- Financial hardship must be assessed genuinely and a response provided within 21 days
- Customers experiencing financial hardship will not be referred to debt collectors while a hardship application is under assessment
- A customer in financial hardship will be offered information about free financial counselling services

11. Loan Closure & Off-Boarding

11.1 Payoff Quote Process

Upon receiving a payoff request (whether verbal, written, or through the online portal), the following process applies:

16. Payoff quote must be generated from the loan management system (not manually calculated) within 2 business days.
17. The payoff quote must specify: outstanding principal, accrued interest to the nominated payout date, break costs (fixed rate loans), any outstanding fees, and the quote expiry date (30 days).
18. The payoff quote must be provided in writing (email or letter) and cannot be given verbally as a binding commitment.
19. A new payoff quote must be obtained if the nominated payout date changes by more than 5 business days.

11.2 Full Repayment — Account Closure Process

20. Confirm receipt of full payout funds in the Bank's nominated settlement account.
21. Reconcile the amount received against the payoff quote (allow for daily interest accrual to actual settlement date).
22. If an overpayment is received: the excess must be refunded to the borrower's nominated account within 3 business days. Overpayments may not be applied as a principal reduction without the borrower's written instruction.
23. Loan account is marked 'CLOSED — PAID IN FULL' in the system on the date funds are confirmed received.
24. Generate and dispatch No Due Certificate (NDC) within 5 business days of account closure (see Section 11.4).
25. Initiate lien release process (see Section 11.3).

11.3 Lien Release — Mortgage Discharge

Task	Deadline
Prepare Discharge of Mortgage	2 business days from closure confirmation
Lodge Discharge at Land Titles Office	Within 14 calendar days from closure confirmation

Task	Deadline
Release title documents to borrower/solicitor	Within 5 business days; confirmation of receipt required
Notify LMI provider of loan closure (if LMI was in force)	Within 14 calendar days
Cancel property insurance held in Bank's name (if applicable)	Within 5 business days
PPSR discharge (if personal property registered)	Within 5 business days
Written confirmation of lien release to borrower	Simultaneously with title document release

⚠️ **Title Documents — Custody Obligation**

Title documents held by Meridian Bank in its security custody facility must be treated as legal instruments. They must only be released to the registered borrower, their nominated solicitor (with written authorisation), or as directed by a court order. Title documents must not be released pending confirmation of payout — the release process begins only after the account is confirmed as CLOSED — PAID IN FULL.

11.4 No Due Certificate (NDC)

The NDC is a legal document confirming that the borrower's mortgage obligations to Meridian Bank have been fully discharged. NDC requirements:

- Must be generated from the loan management system — manually prepared NDCs are not permitted
- Must be on Meridian Bank letterhead and signed by an authorised officer (Credit Manager level minimum)
- Must contain: borrower full legal name(s), loan account number, property address (including title reference), date of final payment, statement that all obligations have been discharged, and the Bank's ABN and ACL number
- Must be issued within 5 business days of account closure
- A copy must be retained in the Bank's document management system for 7 years

If the NDC contains an error, a corrected NDC must be issued within 2 business days of the error being identified. The original NDC must be marked as superseded.

12. Policy Exceptions

12.1 Exception Philosophy

This policy is designed to cover the full range of standard residential mortgage lending. It is acknowledged that individual customer circumstances may occasionally present merits not fully captured by standardised policy parameters. Policy exceptions are permitted only where:

- The exception is genuinely justified by the specific circumstances of the borrower
- The risk of the exception is within the risk appetite of the delegated authority holder
- The exception is documented in writing with a clear rationale
- The exception does not result in a breach of any regulatory requirement (exceptions cannot be used to waive APRA buffer requirements, minimum KYC standards, or AML/CTF obligations)

12.2 Exception Logging & Reporting

All policy exceptions must be logged in the Exception Register maintained by Group Credit Risk. The register captures: loan account number, exception type, justification, approving delegate, and date. The CCO reviews the Exception Register monthly and reports to GCRC on exception trending. A high frequency of exceptions in a particular category may trigger a policy review.

12.3 Non-Excusable Breaches

The following are not policy exceptions — they are prohibited conduct that cannot be authorised at any level:

- Waiving or reducing the 3.0% APRA serviceability buffer
- Approving an application with an unresolved DVS mismatch
- Progressing an application while a fraud investigation is open
- Taking collections action against an account with an active hardship application
- Issuing an NDC before account closure is confirmed
- Providing a verbal binding payoff quote
- Disclosing to an applicant or broker that a Suspicious Matter Report has been filed

— END OF POLICY DOCUMENT —

MBL-POL-CREDIT-RESI-V3.2 | Effective 1 February 2025 | Owner: Chief Credit Officer

Next review: January 2026. Questions regarding this policy should be directed to Group Credit Risk at creditpolicy@meridianbank.com.au